

Montana

GENERAL INFORMATION

1. Montana **maintains** a list of eligible surplus lines insurers (see Other Comments section #1).
2. Montana **does not** have a Surplus Lines Association.
3. Montana **does** have an Export List (see Other Comments sections #4 and #8).
4. Montana **does** have an industrial insurance exemption applicable to captive insurers only (see Appendix C).
Montana has also adopted the NRRRA exempt commercial purchaser exemption.
5. **Surplus lines tax:** 2.75%, plus 0.25% stamping fee if policy is mailed to Office of the Commissioner of Securities and Insurance (0% stamping fee if policy is filed electronically by agent) and 2.5% additional tax on fire portions of surplus lines placements), payable by agent.
6. Montana **does** allow the formation of domestic surplus lines insurers in the state (see Other Comments section #9).

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

1. **NAIC Listing.**
2. **Trust Fund:** \$5,400,000.
3. **Statement of Assets in Trust.**
4. **IID Financial Reporting Format.**
5. Brokers may not place insurance with any alien insurer unless the alien insurer appears on the NAIC's Quarterly List of Alien Insurers. Mont. Code Ann. § 33-2-307(2).

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

A surplus lines broker may not place coverage with a nonadmitted insurer unless, at the time of placement, the nonadmitted insurer:

- Is authorized to write such insurance in its domiciliary jurisdiction; and possesses capital and surplus, or its equivalent under the laws of its domiciliary jurisdiction, that equals the greater of the minimum capital and surplus requirements under the laws of Montana or \$15 million.

The commissioner may waive the minimum capital and surplus requirement for a nonadmitted insurer if the commissioner makes an affirmative finding of acceptability after considering: quality of management, capital and surplus of a parent company, company underwriting profit and investment trends, market availability, and company record and reputation within the industry. Mont. Code Ann. § 33-2-307(1)(b)(ii). The commissioner may not make a finding of acceptability if the insurer's capital and surplus is under \$4.5 million. Mont. Code Ann. § 33-2-307(1)(b)(ii).

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

1. Wet marine and transportation insurance.
2. Insurance on subjects located, resident, or to be performed wholly outside of Montana or on vehicles or aircraft owned and principally garaged outside Montana.
3. Insurance on property or operation of railroads engaged in interstate commerce.
4. Insurance of aircraft owned or operated by manufacturers of aircraft, or aircraft operated in scheduled interstate flight, or cargo of the aircraft, or against liability, other than workers' compensation and employer's liability, arising out of the ownership, maintenance, or use of the aircraft.

OTHER COMMENTS OR REQUIREMENTS

1. Montana's eligibility list is available at <https://csimt.gov/wp-content/uploads/2025/01/Eligible-Surplus-Lines-Companies.pdf>.
2. All surplus lines business must be written through a surplus lines producer that is authorized by the Montana DOI.
3. Montana's Export List is available on the Montana Surplus Lines Association website at <https://csimt.gov/wp-content/uploads/2024/01/Final-Approve-Risk-List.pdf> or on the Montana DOI's website at <https://csimt.gov/insurance/surplus-lines/>.
4. The diligent search requirement (three declinations from admitted carriers) does not apply for a surplus lines broker if, by placing the account in the surplus lines market, there is a premium savings that is greater than 10%. This can only be done with proof that the non-admitted carrier has at least a financial rating of "A" or greater. A diligent search is not required for coverages listed on Montana's Export List.
5. Each insurance contract, cover note, or certificate of insurance procured and delivered as surplus lines insurance in Montana must be filed with the commissioner, or with the surplus lines advisory organization formed pursuant to Mont. Code Ann. § 33-2-321 of the Montana Insurance Code, and endorsed as "issued in an unauthorized insurer under The Surplus Lines Insurance Law, under surplus lines insurance producer's license No. ..." and "NOT covered by the property and casualty guaranty fund of this state if the unauthorized insurer becomes insolvent." The surplus lines producer must properly fill in and sign the endorsement.

6. Montana amended its Insurance Code to revise certain definitions and update certain provisions relating to surplus lines insurance effective March 7, 2019. Mont. Code Ann. §33-2-301(3)(t)(i) of the Montana Insurance Code amended its definition of “surplus lines insurance” to include inland marine insurance. Revisions to Mont. Code Ann. §33-2-302(2)(a) that address conditions precedent to the sale of surplus lines insurance include the deletion of terms that provide that a producer must show that the insurance is not procured for the purpose of securing a lower premium rate than would be accepted by an authorized insurer or for an advantage in terms of the insurance contract. Mont. Code Ann. §33-2-302(2)(b) adds a provision to exempt producers from the diligent search requirement of subsection (2)(a)(ii) if the premium quoted by an authorized insurer is at least 10% higher than the rate quoted by the unauthorized, eligible surplus lines insurer.
7. Montana eliminated requirements that surplus lines insurers must appoint the insurance commissioner as agent for service of process and instead requires surplus lines insurers to designate a registered agent for service of process.
8. Effective January 16, 2024, the Montana DOI revised its Export List to include “prepaid legal” under the “professional liability” section.
9. On February 27, 2025, Governor Gianforte signed HB 60 into law, which allows the formation of domestic surplus lines insurers in the state.

Contact Our Insurance + Reinsurance Team

CONTACT US